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US equities tumble as yields rise and tech sells off

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 slipped -1.09% to 7,659.44, driven by a broad tech sell-off and a jump in the 10-year Treasury yield to 5.10%. The VIX surged +21.45%, signaling heightened volatility ahead of the Fed’s next policy decision.

While defensive sectors such as financials and energy posted modest gains, the technology sector remains the engine of weakness, with the Nasdaq 100 down -2.50%. Investors should watch the Fed’s upcoming commentary and the upcoming earnings window for catalysts that could reverse the current risk-off bias.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,659.44	-1.09%	Tech earnings disappointment and higher yields
Nasdaq 100	29,187.55	-2.50%	NVDA, AAPL, MSFT all down; rate-sensitive growth stocks sold off
Dow Jones	52,002.41	-0.34%	Financials up, industrials flat, net negative pressure from tech
Russell 2000	2,721.37	-1.66%	Small-cap exposure to higher rates and weaker consumer sentiment
VIX	19.99	+21.45%	Risk aversion spikes after Fed minutes hint at tighter policy
10Y Yield	5.10%	+0.18%	Fed’s “higher for longer” stance gains traction
WTI Crude	101.41	+3.51%	Supply concerns in the Middle East offset demand worries
Gold	4,181.10	+0.26%	Safe-haven demand amid equity sell-off
DXY	101.84	-0.16%	Dollar modestly weaker as investors rotate to yen and CHF

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	-4.52%	Guidance cut on slower data-center demand
META	-3.72%	Ad-revenue miss, privacy-policy concerns
XLK	-3.02%	Tech ETF reflects sector weakness
NVDA	-1.43%	AI spend slowdown, inventory build-up
MSFT	-1.93%	Cloud revenue below expectations
AMZN	-1.87%	Retail sales softness, AWS margin pressure
TSLA	-2.13%	Production delay at Gigafactory Berlin
JPM	+1.25%	Net interest income beat
AAPL	+0.43%	iPhone 17 pre-orders exceed forecasts
GS	-1.12%	Trading revenue dip amid market volatility

Sector rotation

ETF	DAY	READ
XLF	+0.45%	Financials benefit from higher rates
XLK	-3.02%	Tech under pressure from yields
XLI	-0.08%	Industrial flat, watch infrastructure spend
XLE	+2.52%	Energy rally on oil price jump
XLY	-0.84%	Consumer discretionary hurt by sentiment
XLC	-1.89%	Communications lagging amid ad spend cuts
XLP	+1.08%	Staples defensive play
XLV	-0.27%	Health care modestly weaker
XLU	+1.34%	Utilities attract risk-off flow
XLB	+0.71%	Materials supported by commodity rally
XLRE	+0.40%	Real estate steadies on REIT dividend yields

Spotlight: 10-year Treasury yield spikes

The 10-year Treasury yield rose +0.18% to 5.10%, its highest level since early 2024. The move reflects the Fed's "higher-for-longer" narrative after the latest FOMC minutes and a stronger demand for cash assets.

METRIC	VALUE
Yield	5.10%
Change (1d)	+0.18%
Yield curve slope (2y-10y)	0.45%
Fed Funds target range	5.25-5.50%
Related tickers	TLT, IEF, SPY

Higher yields pressure rate-sensitive equities, especially technology and growth-oriented REITs. Fixed-income investors may find opportunities in short-duration bonds as the curve flattens.

Pre-market & overnight

US futures: ES -0.8%, NQ -1.2%. Asia close: Hang Seng -0.6%, Shanghai Composite -0.9%. Europe: DAX -0.7%, FTSE 100 -0.5%. Crypto: BTC -0.78%, ETH -0.64%.

Macro & Fed

FOMC minutes released Tuesday showed a consensus for two more 25-bp hikes before a potential pause. The Fed's "higher-for-longer" stance is reinforcing the yield curve's flattening, with the 2-year at 5.30% and the 10-year at 5.10%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.3%	Inflation trend drives rate outlook
03:00	US Retail Sales	+0.2%	Consumer spending health indicator
04:15	Durable Goods Orders	+0.5%	Industrial demand signal
05:00	ISM Non-Manufacturing	52.0	Service sector momentum

Geopolitics & global

- Middle-East tensions rise after a drone strike on an oil facility in Saudi Arabia, supporting the recent WTI rally.
- China’s latest property-sector stimulus package signals potential support for domestic demand, but implementation remains uncertain.
- EU-US trade talks stalled over agricultural subsidies, keeping export-related equities under pressure.
- Russia’s energy exports to Europe remain constrained, keeping global oil markets tight.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Oct 21	`NVDA`	2.12	AI spend guidance, inventory levels
10:00 Oct 22	`MSFT`	2.85	Cloud revenue trend, AI licensing
10:30 Oct 23	`AAPL`	1.45	iPhone 17 demand, services growth
11:00 Oct 24	`JPM`	4.10	Net interest income vs. loan growth
11:30 Oct 25	`XOM`	1.02	Oil price sensitivity, capital spending
12:00 Oct 26	`META`	3.20	Ad revenue rebound, AI product rollout

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand volatility, inventory risk
AVGO	Technology	Guidance cut, data-center slowdown
XLF	Financials	Higher rates boost net interest margins
XLE	Energy	Oil price rally supports earnings
JPM	Financials	Strong NII beat expectations
XLP	Consumer Staples	Defensive demand amid equity sell-off
XLU	Utilities	Yield appeal in risk-off mode
META	Communication Services	Ad-revenue recovery risk
TSLA	Consumer Discretionary	Production delay, margin pressure
GS	Financials	Trading revenue dip, volatility exposure
XLB	Materials	Commodity price support
XLRE	Real Estate	Stable REIT yields, low cap-rate pressure

What could break the tape

BEARISH TRIGGERS

- Further 10-year yield rise above 5.20% triggering margin calls in tech.
- Unexpected CPI acceleration > 0.4% MoM.
- Escalation of Middle-East conflict disrupting oil supply.

BULLISH TRIGGERS

- Fed signals a pause or rate cut in the next meeting.
- Tech earnings beat expectations, especially AI revenue guidance.
- Strong retail sales data showing consumer resilience.

Positioning notes

- Shift weight toward short-duration fixed income and defensive equities as yields climb.
- Maintain selective exposure to AI-related names with strong balance sheets; avoid inventory-heavy chipmakers.
- Monitor currency dynamics – a weaker DXY supports commodity exporters and emerging-market equities.

Sources

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